that from July 1, 1960, to June 30, 1965, the SBI and its subsidiaries should add 300 branches. The centres, as before, were to be selected from rural and semi-urban areas. Even as this expansion plan was being implemented, the government and the RBI identified 319 treasury and sub-treasury centres where they wanted the SBI to open branches within five years from January 1, 1964.[3] The bank launched two more expansion programmes, under which it was required to open 485 branches mainly in the rural areas till the end of 1968. Up to the end of June 1968, the bank had opened 377 branches under these two programmes. Of the new branches opened under the expansion programmes, about 72 percent were located in the rural and semi-urban areas.[4]

The *raison d'etre* of the branch expansion programme lay in the spread of the banking habit, the amount and sources of deposits mobilized and the credit extended. The new branches of the bank contributed about 28 percent to the bank's total deposits and about 13 percent to its total advances portfolio. In terms of deposit accounts, their share was 48 percent of the bank's total number of accounts. Savings bank accounts predominated in deposit accounts, comprising 70 percent of the total, while fixed deposits and current accounts accounted for 17 percent and 13 percent respectively. The total contribution of the bank's offices in the rural and semi-urban areas to the bank's total deposits, which was about 10 percent in March 1964 rose to about 15–16 percent or about ₹140 to 150 crores in 1968.[5]

Given the importance of remittance facilities in the development of banking in the country, the conversion of non-banking treasuries into banking treasuries was central to the branch expansion of the SBI. The bank was expected to take over the 100 and odd district treasuries which were still unbanked, and one in every five of the 1,500 and odd sub-treasuries in the country. In its first expansion programme, the SBI covered 384 treasury centers, of which seventy-nine were treasuries and 305 sub-treasuries. The process of conversion of non-banking treasuries into banking treasuries continued through successive branch expansion programmes and till the end of 1967, in all, 716 treasuries and sub-treasuries had been taken over by the SBI.[6]

The new branches of the bank considerably increased the facilities for remittance of funds available to the commercial and co-operative banks. The volume of remittances effected by these banks also increased manifold.